outside capital, but many investors who read the book asked for help in executing the strategy. Since I had always been fascinated by the idea of a benevolent brokerage firm that allowed people to pick their own stocks from a limited list of preselected names based on “value,” we teamed up with Blake Darcy, who had founded DLJ Direct, to set up that type of brokerage firm. Investors were also be encouraged to pick at least 20 or 30 stocks so they got the average instead of being overly dependent on a few stocks. Blake suggested that we also add a checkbox that allowed investors to choose the option of having us manage the portfolio rather than picking the stocks themselves. Less than 10 percent of the people decided to choose my original idea of doing it themselves, and over 90 percent just checked the box for us to do it for them.

We tracked how the individual investors who managed their own portfolios from the exact same list of stocks did versus the automatic portfolios we constructed. The self-managed accounts underperformed the “professionally” managed accounts by over 25 percent in the first two years. I thought that was fascinating. We had effectively created a control group experiment. Here are the people who did it themselves, and here are the people who did it automatically. Both groups had the same principles and the exact same list of stocks, but letting investors make their own decisions destroyed all the outperformance.

Why did they do so much worse?

There are a number of reasons that are probably common to most individual investors. They took their exposure down when the market fell. They tended to sell when individual stocks or their portfolios as a whole underperformed. They did much worse than random in selecting the stocks from our prescreened list, probably because by avoiding the stocks that were particularly painful to own, they missed some of the biggest winners.

What was your worst mistake?

We found a business, Key3Media, that had a great return on tangible capital employed and great operating leverage. It was a trade show company that used to run COMDEX, the largest technology trade show. They would rent space in Las Vegas for their shows at $2 per square foot